

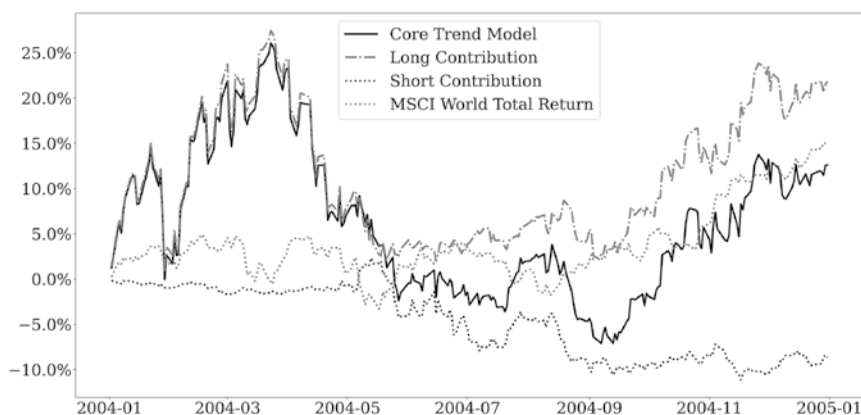


FIGURE 6.14 Strategy performance 2004.

That's, of course, the time that the markets decide to teach you another lesson in humility, because, of course, it will drop. From having this amazing near 30% profit, we see loss after loss, week after week, month after month, and half a year later, we have a negative performance of -5% (Figure 6.14). What you will learn at that point is that your investors won't call and congratulate you on the +30% in April, but they will call you and demand answers when you're at -5%. Worst case, they will lose faith in you and start withdrawing their money.

Lucky for you, the fortunes turn again by September and you slowly move up for the rest of the year, finishing at +16%. Yes, another profitable year, but at a terrible cost of drawdowns and volatility. It's a respectable double digit return, but a prudent investor would question if this kind of volatility would not warrant a higher return.

Often when we see fast gains or losses, it's driven by a single sector or at times two sectors together. The move early this year, the one that brought us up to nearly +15%, was a joint operation across sectors. We saw smaller gains on all sectors and it added up nicely. More interestingly is what happened during that powerful phase that took us from the zero line up to nearly +30% in a short period of time. Starting from March, we saw primarily two sectors take off, at about the same time. One was the agricultural complex, which showed fast gains and managed to hold onto them for the entire year. The other was rates, which didn't fare as well in the long run. The rates sector provided strong returns up until April,